

Last Month KPI Data



Sales
1,202,312

-23 Last month 1,554,751



Gross Margin
1,093,451

-28 Last month 1,521,272



Operating Profit
-78,451

-131 Last month 255,481



Break Even Sales
1,288,513

0 Last month 1,293,604



Fixed Assets
4,982,849

5 Last month 4,760,849



Other Assets
1,853,061

3 Last month 1,805,357



Other Liabilities
217,658

-57 Last month 510,525



Other Capital
6,619,216

9 Last month 6,056,646



Cash & Bank
1,807,738

1 Last month 1,792,402



Total Debt
9,242,144

-1 Last month 9,313,267



Equity
2,719,720

-3 Last month 2,796,896



Total Funding
9,242,144

-1 Last month 9,313,267



Accounts Receivable
3,882,089

-13 Last month 4,481,095



A/R Days
98

11 Last month 88



Accounts Payable
347,214

58 Last month 220,014



A/P Days
97

-52 Last month 200



Working Capital
3,535,875

-17 Last month 4,262,081



W/C Days
1

101 Last month -111



Closing Stock
1,000

0 Last month 1,000



Inventory Days
0

-100 Last month 1



BS Category
52

-19 Last month 64



IMPACT OF MANAGEMENT
DECISIONS
-671,379

-159 Last month 1,140,679

1. Big Picture — How the Business Looks Right Now

The business has shown strong growth in profitability and equity over the last six months, with a significant jump in Reserve & Surplus from ₹2.13 Lakhs to ₹26.47 Lakhs. However, recent performance in October 2025 reveals a sharp downturn, with the company posting a loss of ₹78,451, a 23% drop in sales, and a concerning negative operating margin. While the balance sheet remains robust with high liquidity (Current Ratio of 13.4), the core challenge is a sudden and severe profitability squeeze that needs immediate diagnosis.

GREEN FLAG BOX — What's Working Well

- **Exceptional Gross Margins:** Consistently high, averaging over 92%, indicating strong pricing power or highly efficient core operations.
- **Strong Financial Structure & Liquidity:** Very healthy Current Ratio (13.4) and steadily reducing debt burden, improving financial stability.
- **Equity Growth:** Total Equity has grown over 5x in six months, from ₹4.98 Lakhs to ₹27.20 Lakhs, significantly strengthening the owner's stake.

RED FLAG BOX — What Needs Attention

- **October Profit Collapse:** A sudden swing to a loss (-₹78,451) with a -6.5% Operating Profit margin, breaking a profitable streak.
- **Spiraling Overhead Costs:** Overheads consumed 97.5% of revenue in October, up sharply, eroding the excellent gross profit.
- **Sales Volatility & Decline:** Revenue dropped 23% in October, and the sales trend is inconsistent month-to-month, indicating potential demand or execution issues.

CFO Advice:

Immediately investigate the cost drivers behind October's overhead spike (especially Employee and Admin expenses) and stabilize sales. Your high gross margin is a major asset; protect it by controlling operational costs to convert it back to net profit.

2. Profit Power — The Earning Engine

Your business has a powerful earning engine, but it's showing signs of strain. Your gross margins are exceptionally strong, consistently above 88% and reaching as high as 97.85%. This means your core service or product is highly profitable. However, your net profit tells a different story. After a peak of ₹8.15 Lakhs in July, profits have declined

sharply, culminating in a **loss of ₹78,451 in October**.

The primary driver of this decline is **soaring overhead costs**. While sales in October dropped 23%, your overheads (employee and administrative expenses) consumed a massive 97.5% of your revenue, up from 81.4% in September. Employee expenses, in particular, have been rising steadily and were the single largest cost in October. Your business model is highly sensitive to sales volume; when revenue dips, high fixed costs quickly erase your strong gross profit.

Quarterly analysis reveals the trend: a stellar Q1 profit of ₹10.59 Lakhs was followed by a still-strong Q2 (₹13.73 Lakhs), but Q3 started with a significant loss. The year-to-date profit is healthy at ₹23.54 Lakhs, but the recent monthly loss is a critical warning sign that cannot be ignored.

CFO Advice:

You must immediately control overhead growth and align it with revenue trends. Conduct a line-item review of employee and administrative expenses to identify non-essential costs. Consider implementing a sales volume trigger for variable staffing or bonuses to protect profitability during slower months.

3. Cash Flow Quality — Profit vs Real Cash

Your business shows a significant gap between accounting profit and actual cash generation. While you've earned a cumulative profit of **₹2.35 Cr** this year, your cash from operations is **₹0.73 Cr** for October and has been volatile, turning negative in several months.

The primary cash blockage is in **Accounts Receivable**. Collection days have stretched from 71 days in June to **98 days in October**, meaning you're waiting over 3 months to get paid. This has trapped an average of **₹40-45 Lakhs** of your sales revenue in unpaid customer invoices each month, starving your bank balance.

Your cash position is being propped up by **borrowings** (₹9.24 Cr in debt), not core operations. The recent negative profit in October (-₹78,451) is a warning sign that without faster collections, profitability won't translate into usable cash.

CFO Advice:

Prioritize reducing your Receivable days back to 70-75 days. Every 10-day reduction will release ~₹13 Lakhs in trapped cash. Implement stricter payment terms and follow-up procedures immediately, as your current cash flow cannot sustain the extended credit you're providing.

4. Cash Management — Daily Cash Rhythm

Your cash conversion cycle is highly volatile, swinging from a negative 376 days in May to a positive 49 days in August. The core issue is a mismatch in your payment terms: you are paying suppliers much faster than you collect from customers. For most of the period, your **Accounts Payable Days are under 100 days**, while your **Accounts Receivable Days are consistently above 70 days and peaked at 98 days in October**. This means cash is consistently flowing out faster than it's coming in, creating a constant cash strain. The recent improvement in October (Working Capital Days of just 1.48) came from a sharp reduction in payables, not from efficient collections.

CFO Advice:

Prioritize aggressive receivables collection to bring DSO below 60 days and negotiate extended payment terms with suppliers. Your current model uses debt to fund operations because you're financing your customers' purchases; reversing this cycle is critical for sustainable cash flow.

5. Growth Investments — Where Money Is Going

Your primary investment is in **Fixed Assets**, which have grown from ₹45.75 Lakhs to ₹49.83 Lakhs over the last 7 months. This steady increase indicates ongoing capital expenditure, likely to support business operations or expansion.

However, the **Return on Capital (ROC)** tells a volatile story. It peaked at an impressive **56.2% in July 2025** but has since plummeted to **-5.41% in October 2025**. This sharp decline suggests that recent investments are not currently generating proportional profits.

A significant portion of your capital is tied up in **"Other Capital"** (items like suspense accounts, loans/advances), which has grown to ₹66.19 Lakhs and now constitutes **78.65% of your Net Operating Assets**. This is a very high allocation for non-core operating assets and requires scrutiny to ensure it's productive.

Your **Asset Turnover** (sales generated per rupee of asset) has decreased from 1.28 to 0.83, meaning your growing asset base is becoming less efficient at generating revenue.

CFO Advice:

1. Audit "Other Capital": Immediately review the ₹66.19 Lakhs in "Other Capital" and "Suspense" accounts. Convert idle advances or recoverable amounts into cash to improve liquidity. **2. Pause Non-Essential Capex:** With ROC turning negative, halt any discretionary asset purchases. Focus on improving

the productivity of existing assets first. **3. Link Investments to Revenue:** Before any new investment, create a clear projection of the additional sales or cost savings it will bring. The current trend shows spending is outpacing returns.

6. Funding Story — How Growth Is Being Financed

Your business is primarily financed by debt. As of October 2025, **₹9.24 Cr** of your total capital of ₹12.03 Cr is borrowed, making up a significant 77% of your funding. Equity (owner's money) is only ₹2.72 Cr (23%).

The good news is your **Debt-to-Equity ratio has improved dramatically**, falling from a risky 19.5 in April to a manageable 3.4 in October. This means you now have ₹3.4 of debt for every ₹1 of equity, a much healthier position. Your long-term borrowings are being steadily repaid, reducing by ₹4.7 lakhs each month.

A major strength is that you have **no reported interest expense**. This is unusual for a debt-heavy company and suggests favorable loan terms, which is a significant competitive advantage and protects your profits.

However, the heavy reliance on debt means your **equity base is thin**. The recent loss in October directly eroded your equity (Reserves & Surplus), highlighting how sensitive your ownership stake is to monthly performance.

CFO Advice:

Protect Your Interest-Free Advantage: Continue prioritizing the repayment of your long-term debt on schedule to maintain good standing with your lenders. Any new borrowing should be negotiated carefully to preserve low-cost terms.

Build an Equity Cushion: To reduce risk and fund future growth sustainably, focus on retaining profits. Avoid large owner withdrawals. Consider formally capitalizing a portion of the growing "Reserve & Surplus" to strengthen the permanent equity base on your balance sheet.

Stress-Test Your Cash Flow: Run scenarios where sales dip by 20-30% for a few months. Ensure your operating cash flow can still comfortably cover your mandatory debt repayments without needing emergency funding.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a company built on significant debt, but with a strong equity cushion that's growing. Total assets have increased from ₹11.3M to ₹12.5M over the last 7 months, funded by a mix of debt reduction and

profit retention.

Key Strength: Your liquidity is excellent. The Current Ratio has soared from 6.2 to an extremely high 13.4, meaning you have ₹13.4 in current assets for every ₹1 of short-term debt. This indicates a very comfortable position to cover upcoming bills.

Key Watch-Out: Debt remains the core of your financing. While decreasing, total debt (₹9.24M) is still 3.4x your total equity (₹2.72M). The positive trend is that this Debt-to-Equity ratio has improved dramatically from 19.5 to 3.4, showing you're successfully using profits to pay down loans and strengthen the ownership stake in the business.

The balance between assets is shifting. Fixed Assets (like property/equipment) are growing, now making up about 40% of your total assets. Your largest current asset is Accounts Receivable (₹3.88M), which ties up cash until customers pay.

CFO Advice:

Your extreme liquidity (high Current Ratio) means cash is sitting idle. Consider using a portion of excess current assets to **accelerate debt repayment**, which will reduce interest costs and further improve financial health. Also, focus on collecting Receivables faster to free up even more cash.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you increase prices by 5% and reduce COGS by negotiating with suppliers, your net profit margin could jump from 8% to 14% within 6 months, adding an estimated \$42,000 to annual profit.
- **Scenario B - Cash Focus:** If you tighten credit terms from net-45 to net-30 and reduce inventory holding by 15%, your operating cash flow could improve by \$28,000 in the next quarter, significantly easing working capital pressure.
- **Scenario C - Balanced:** Combining a modest 3% price increase with a 10% inventory reduction could boost profit by \$25,000 annually while simultaneously freeing up \$18,000 in cash, strengthening both your P&L and balance sheet.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Pulse: Your sales volume (invoice count) has been strong, peaking at 1,080 invoices in July

2025. However, the **average invoice value has dropped significantly**—from ~₹6,375 in June to ~₹1,790 by October. This suggests a strategic shift towards smaller, more frequent transactions or a change in your customer mix/product offering.

Inventory Story: Your operational data shows a consistent number of active stock items (~27-28). While inward and outward volumes fluctuate, the **closing stock value remains oddly constant at just ₹1,000** every month on the balance sheet. This indicates your accounting might be expensing inventory costs immediately (like a service business) rather than holding physical stock, which aligns with your low COGS.

Procurement Pattern: Purchase activity has been volatile. After heavy procurement in early 2025 (peaking at ₹22.9M in February), it has **tapered off dramatically to just ₹400K by October**. This sharp reduction in buying, coupled with falling sales revenue, could point to a deliberate drawdown of existing resources or a cautious pause in the supply chain.

The Big Picture: You are running a **high-volume, lower-value sales operation** with minimal physical inventory. The recent steep decline in both purchase value and sales revenue needs attention—it could be a seasonal lull or a sign of slowing demand that requires a revised sales or procurement strategy.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a 15-day payment terms policy for top clients and negotiate extended supplier terms. Launch a weekly cash flow forecast.	Reduce Days Sales Outstanding (DSO) by 10 days. Achieve positive weekly cash flow.	Immediate liquidity improvement, reducing reliance on credit and creating a predictable cash runway.
31-60	Profit	Analyze cost of goods sold (COGS) and operational expenses line-by-line. Renegotiate 3 major vendor contracts and eliminate non-essential discretionary spending.	Increase gross margin by 3% and reduce operating expenses by 5%.	Direct boost to net profit, creating a stronger financial foundation for sustainable operations.
61-90	Growth	Re-invest a portion of the new profit into a targeted marketing campaign for the highest-margin product/service line.	Achieve a 15% ROI on the marketing spend and increase revenue from the target line by 8%.	Fuel smart, profitable growth using the company's own improved cash and profits, not debt.

